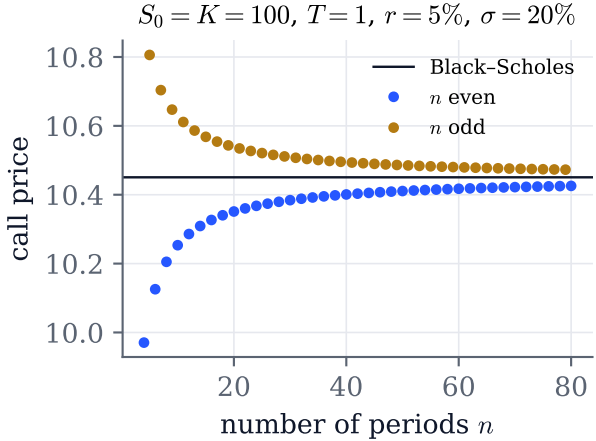
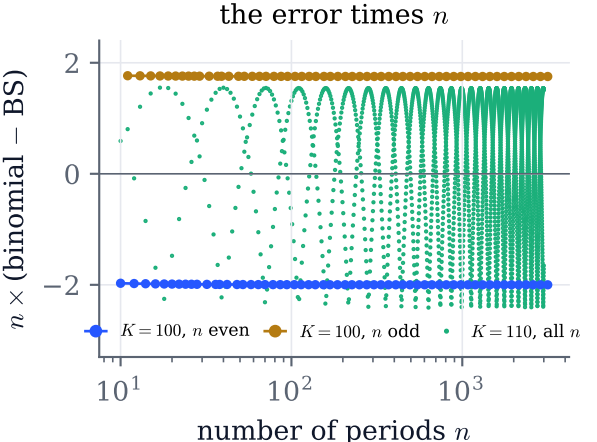

$S_0 = K = 100,\ T = 1,\ r = 5\%,\ \sigma = 20\%$
Black–Scholes
$n$ even
$n$ odd
call price
10.8
10.6
10.4
10.2
10.0
20
40
60
80
number of periods $n$


the error times $n$
$n \times$ (binomial − BS)
2
0
−2
$K = 100$, $n$ even
$K = 100$, $n$ odd
$K = 110$, all $n$
$10^1$
$10^2$
$10^3$
number of periods $n$